The applicable observation today is one made nearly a decade ago by Earl Hadady of the *Bullish Consensus*, who developed the indicator: "With almost 40 cents of every non-trust fund dollar being used to pay Lawful Interest Expense, the situation is out of control... Uncle Sam could eventually go bankrupt." That amount rose to 54.8 cents in 1992, and has since fallen back to 47 cents. While the retreat may appear to be good news, the reasons for it are not all good. Falling rates into early 1994 were partly responsible, but the bigger factor was the government's deliberate decision to shorten maturities, a near term expediency that is set up to backfire. Because interest rates turned higher in 1993, the government will have to begin paying higher interest rates sooner than otherwise as the shorter maturities come due. The five-wave count in Figure 16-15 suggests a drop for wave II back to the 40% level as tax receipts improve over the near term and the rollback to short term maturities continues. When rates rise again, though, this line should accelerate upward in wave III.

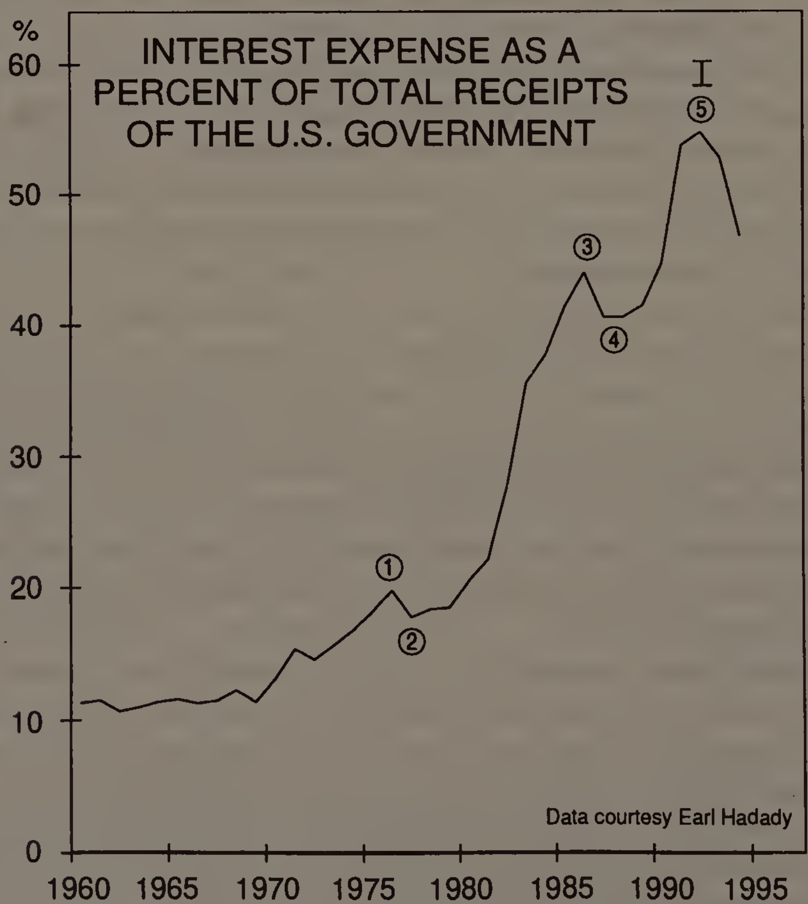

Figure 16-15